



BEST SMALL
INDIAN BANK
**THE KARUR
VYSYA BANK**

ON THE GROWTH PATH B. Ramesh Babu, Managing Director and CEO, The Karur Vysya Bank

CHANGING WITH THE TIMES

The century-old Karur Vysya Bank is embracing new technologies like AI to enhance customer experience while continuing its strong financial growth

BY TEENA JAIN KAUSHAL

SET UP IN 1916, The Karur Vysya Bank (KVB) has a longstanding heritage of ethical banking

practices. It has remained profitable every year since its inception, demonstrating robust financial stability and consistency. The founders had incorporated certain clauses like preventing directors from taking loans from the bank even before they were incorporated in law. Since then, the bank has maintained a culture of ethical responsibility. This vision laid the groundwork for the bank.

M.A. Venkatarama Chettiar and Athi Krishna Chettiar founded KVB 107 years ago to support traders and farmers who had suffered severely during the First World War. Starting with a seed capital of ₹1 lakh, it has now grown into a full-fledged commercial bank offering a wide range of services.

During its long journey, the bank has successfully navigated many challenges. “Earlier when there was an infra bull, several decisions were deliberated upon regarding diversification into corporate banking. At one point, corporate banking was more than 35% of the overall book. During this period, the bank’s gross non-performing assets (NPAs) rose to 9%. Despite the challenges that came with changes in government policies, stalled projects, and other issues, the bank managed to stay afloat and mitigate the impact better than bigger banks,” says B. Ramesh Babu, KVB’s MD and CEO.

This prompted it to initiate changes to improve its performance. “These transformations included verticalisation, with the creation of specific corporate banking units that could focus on significant customers, the creation of positions such as relationship managers and credit analysts, and the introduction of business banking units,” says Babu.